

Background to deductions [¶10-010]

[¶10-010]

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An amount is a deduction if it is allowed as a deduction under Pt [D](#): s [BD 2](#). This directs attention to whether a provision in Pt [D](#) authorises a deduction for the outgoing in question.

Deductions are a component of the calculation of taxable income. If a person's annual total deductions for a tax year exceed the annual gross income, the difference is a net loss for the year (and net income for the year if income exceeds deductions): s [BC 4](#). From net income, a deduction is made for any available tax loss to arrive at taxable income for the tax year.

Not all taxpayers are allowed a deduction for expenses that promote the receipt of assessable income. For example, a non-resident deriving dividends, interest and royalties may be denied any deductions, as would an employee who incurs expenses in earning income from employment.

Once it is ascertained that an expenditure or loss is allowed as a deduction, the timing of that deduction must be resolved. A deduction is allowed in the income year in which the expenditure or loss is incurred unless a provision in Pts [D](#) to [I](#) provides to the contrary. See further at [¶10-040](#).

The sections in Pt [D](#) are classified into 3 kinds of provision. The categories, and their effect, are:

- # the general permission: a provision expressed in general terms authorising the deduction of an expenditure or loss, including a depreciation loss, incurred in deriving assessable income or in carrying on a business for the purpose of deriving assessable income
- # the general limitations: six provisions, any one of which, if applicable to an expenditure or loss, prevents deduction of the outgoing under the general permission
- # supplements to the general permission: provisions which address the deduction for specific outgoings and, in the course of doing so, state how the supplement operates in relation to the general permission and the general limitations.

The general permission is considered at [¶10-021](#). The general limitations are described at [¶10-071](#) – [¶10-085](#). The supplements to the general permission are set out in topical format in several subparts to Pt [D](#). The more common items are in subpt [DB](#), followed by more specialist regimes. The more common outgoings are outlined beginning at [¶10-110](#).

There is an interaction between the 3 categories. In ascertaining whether a deduction is allowed under the general permission, the potential application of any of the general limitations and the supplements to the general permission must also be considered.

Law: IT07 ss [BC 4](#), [BD 2](#), [BD 4](#)

Last reviewed on 31 December 2025

Interaction of the deductions rules [¶10-016]

[¶10-016]

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Several propositions are stated in s [DA 3](#) to clarify the relationship between the general permission, the general limitations and the supplements to the general permission. To understand the propositions, it is necessary to be aware of the general limitations. The general limitations are defined at [¶10-071](#) – [¶10-085](#). Perhaps the most common one is the capital limitation. This is the rule that no deduction is allowed for an expenditure or loss to the extent to which it is of a capital nature. The relationship between the general permission, the general limitations and the supplements to the general permission may be illustrated by including reference to the capital limitation.

The first proposition is that a provision in Pt [D](#) may supplement the general permission. In that event, the general permission need not also be satisfied: s [DA 3\(1\)](#) and [\(2\)](#).

Example:

A gift of money may be allowed as a deduction to a company: s [DB 41](#). That section “supplements the general permission”. A deduction becomes allowed if the terms of s [DB 41](#) are satisfied without reference to the requirements of the general permission.

A company, with certain exceptions, is allowed a deduction for interest as a supplement to the general permission, effectively conferring an “automatic” deduction for an interest expense ([¶10-650](#)).

Second, each of the general limitations overrides a supplement to the general permission, unless the provision creating the supplement expressly states to the contrary: s [DA 3\(3\)](#).

Example:

A deduction is allowed as a supplement to the general permission for expenditure incurred in connection with scientific research carried on for the purpose of deriving assessable income: s [DB 33](#). The section also states that it overrides the capital limitation. The consequence is that scientific research expenses of a capital nature are potentially allowed as a deduction. However, the other general limitations continue to apply, so their potential application must be considered before a conclusion on deduction of the expenses can be reached.

A provision in Pt [D](#) may override the general permission and/or any one of the general limitations: s [DA 3\(4\)](#). The outcome would be that the provision in question becomes the authority for determining whether the deduction is allowed.

Example:

A life insurer is denied a deduction for a shareholder base allowable deduction against policyholder base income: s [DR 2](#). The section states that it “overrides the general permission”. As a consequence, no deduction is allowed for these kinds of outgoings incurred by a life insurer.

A further proposition is that, on each occasion, the section in question must expressly state its supplementary nature or its overriding effect: s [DA 3\(5\)](#). This ensures that, for example, any override of the capital limitation must be specifically provided for. The override cannot arise by the less certain means of reasonable inference. No provision in Pt [E](#) has a supplementary or overriding effect.

Law: IT07 s [DA 3](#)

Last reviewed on 31 December 2025

General permission for deductions [¶10-021]

[¶10-021]

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The general permission in s [DA 1](#), is to the effect that a person is allowed a deduction for an expenditure or loss, including a depreciation loss, to the extent to which it is:

- # incurred in deriving assessable income, excluded income or a combination of the 2, or
- # incurred in the course of carrying on a business for the purpose of deriving assessable income, excluded income or a combination of the 2.

The notion of assessable income is defined in s [BD 1\(5\)](#) to mean income that is not exempt income, excluded income or non-residents' foreign-sourced income. Excluded income is defined in s [BD 1\(3\)](#) to encompass excluded income under subpts [CX](#) and [CZ](#) and income that is not non-residents' foreign-sourced income. Despite their different forms, assessable income and excluded income can be expected to be subject to income tax, justifying the deduction of expenses that promote their receipt.

An expenditure can be expected to involve an outlay of funds. On that footing, a company could not expect to be allowed a deduction for the premium foregone when shares are issued at a discount to employees. See *Lowry (I of T) v Consolidated African Selection Trust Ltd* (1940) 23 TC 259. A loss may be of a similar nature, although the circumstances may suggest that classification as a loss is more appropriate. For example, a loss may encompass amounts paid by a solicitor to clients to compensate them for the misuse of their funds by the solicitor's bookkeeper: *C of T v Webber* [1956] NZLR 552.

Principles of deductibility

C of IR v Banks ([1978](#)) 3 NZTC 61,236 (CA) is the leading case on the requirements for deductibility under the general permission. It concerned a part-time tutor who used the dining room in his residence for lecture preparation and marking papers. He claimed a deduction for a proportion of total residence expenses, calculated on a floor-space basis, for interest, rates, insurance premiums, power and depreciation. The Commissioner rejected the claim, relying on Australian cases that hold that expenses incurred in similar circumstances entirely retain their private or domestic character.

The test of deductibility under the provisions of the general permission was stated by the Court of Appeal to be:

it then becomes a matter of degree, and so a question of fact, to determine whether there is a sufficient relationship between the expenditure and what it provided, or sought to provide, on the one hand, and the income earning process, on the other, to fall within the words of the section.

This test was answered in the taxpayer's favour, to the extent of the expenses claimed, because part of the residence was used for income-related activities and so, for part of the time, had the character of business premises.

Many principles have been developed by the courts when identifying in any one case whether there is a sufficient relationship between an expenditure or loss and the income-earning process to allow deduction of the outlay. Some of the more significant principles follow.

- # Expense is referable to current business operations.

Example:

A payment made as a matter of commercial necessity or expediency to secure the removal of an unsatisfactory director or employee is referable only to the current business operations of the taxpayer in gaining its assessable income, and that also stamps it with the character of a revenue and not a capital disbursement. See *Buckley & Young Ltd v C of IR* ([1978](#)) 3 NZTC 61,271 (CA).

- # Expenses on an asset that is part of the income-earning structure.

Example:

A deduction was allowed for rates and taxes incurred in relation to a property once used for farming purposes but subsequently rented out to defray expenses. The property continued to be part of the taxpayer's ordinary income-earning structure and not some other category of asset. See *New Zealand Co-operative Dairy Co Ltd v C of IR* (1990) 12 NZTC 7,128 (CA).

Has the character of a working expense.

Example:

In the course of takeover activities, legal expenses were incurred in defending the allotment of shares in the target company in favour of the taxpayer. The expenses were of a capital nature and so not allowed as a deduction. The court explained that one principle that applies under provisions like those of the general permission is that: "to make a payment to acquire or to defend the acquisition of a favourable position from which to earn income or to enter into arrangements that will yield income is not in general an outlay incurred either in gaining or in carrying on business for the purpose of gaining assessable income; such a payment in the case of a trading company, occurs at a stage too remote from the receipt of income to be so regarded. To be deductible an outlay must be part of the cost of trading operations to produce income, ie, it must have the character of a working expense". See *John Fairfax and Sons Pty Ltd v FC of T* (1959) 101 CLR 30.

Costs that become current necessities of the trade.

Example:

BP Australia produced petroleum products for sale to retailers operating through service stations, and developments in the market led to BP Australia and its competitors making trade tie payments to service station operators. The Privy Council summarised the objectives of BP Australia as follows: "The advantage which BP sought was to promote sales and obtain orders for petrol by up-to-date marketing methods, the only methods which could now prevail. Since orders were now and would in future be only obtainable from tied retailers, it must obtain ties with retailers. Its real object, however, was not the tie but the orders which would flow from the tie. To obtain ties it had to satisfy the appetite of the retailers by paying out sums for a period of years, whose amount was dependent on the estimated value of the retailer as a customer and the length of the period. The payment of such sums became part of the regular conduct of the business. It became one of the current necessities of the trade". The trade tie payments were allowed as a deduction because they were part of BP Australia's marketing arrangements: the agreements with retailers had merged in and become part of the ordinary process of selling products. The payments were not expended on the structure within which profits were to be earned but were part of the money-earning process. See *BP Australia Ltd v C of T of the Commonwealth of Australia* [1966] AC 224.

Unavoidable costs as part of income-producing activities.

Example:

A newspaper publisher alleged to have published libels was allowed a deduction for payments made to settle claims and its associated legal costs: "when it appears that the inclusion in the newspaper of matter alleged by claimants to be defamatory is a regular and almost unavoidable incident of publishing it, so that the claims directly flow from acts done for no other purpose than earning revenue, acts forming the essence of the business, no valid reason remains for denying that the money was wholly and exclusively expended for the production of assessable income". See *Herald and Weekly Times Ltd v FC of T* (1932) 2 ATD 169.

Expenses expected to produce income.

Example:

A mining company that had its overseas mining assets seized by enemy action maintained an administrative structure and continued to derive some investment income. Any income from mining activities was exempt income, with assessable income including the investment income. It was a question of fact what portion of total expenses were incurred in gaining or producing assessable income. To come within that concept, "it is both sufficient and necessary that the occasion of the loss or outgoing should be found in whatever is productive of the assessable income or, if none be produced, would be expected to produce assessable income". See *Ronpibon Tin NL v FC of T* (1949) 8 ATD 431.

Protection of the business.

Example:

The taxpayer held patents for the manufacture of machinery for use in the dairy industry, and it was allowed a deduction for the cost of opposing patent applications for similar machinery lodged by competitors under the principle that, in general, "when the expenditure under review has been incurred in safeguarding or protecting an existing business or investment, it is expenditure of a revenue nature". See *C of IR v Murray Equipment Ltd* [1966] NZLR 360.

Accounts are not determinative and the Commissioner or a court cannot say how much a taxpayer ought to spend in earning income.

Example:

Europa Oil purchased petroleum stocks from offshore and distributed them in New Zealand. Its overseas supplier was willing to grant a discount on the purchases, but did not wish to do so expressly. The taxpayer took up a shareholding in a company that "notionally" refined Europa Oil's purchases, and Europa Oil's share of the refining profits matched the discount that the overseas supplier was willing to allow. The Privy Council agreed with the Commissioner that Europa Oil's deduction for its purchases of petroleum product should be reduced by the amount of the refining profit. This was so as to reflect the true cost of the purchases. In coming to this conclusion, the Privy Council stated the following principles:

"... the Crown is not bound by the taxpayer's statement of account, or by the heading under which expenditure is placed. It is entitled to ascertain for what the expenditure was in reality incurred.

... it is not for the Crown to say that he might have acquired his stock at a lesser price and to deny him any deduction above what it considers he should have paid. This was the basis, as their Lordships understand it of the decision of the High Court of Australia in *Cecil Bros Pty Ltd v F C of T* (1964) 111 CLR 430. The proposition that 'it is not for the Court or the Commissioner to say how much a taxpayer ought to spend in obtaining his income, but only how much he has spent' was one which the High Court considered to be soundly based on authority and with which their Lordships fully agree.

[the general permission] does not enable the Crown to disallow expenditure genuinely made whenever it can be found that some economic advantage accrues to the trader as a result of making the expenditure. ... Taxation by end result, or by economic equivalence, is not what the section achieves".

See *C of IR v Europa Oil (NZ) Ltd* 70 ATC 6012; [1971] NZLR 641 (PC) and also *Europa Oil (NZ) Ltd v C of IR (No 2)*; *C of IR v Europa Oil (NZ) Ltd (No 2)* (1976) 2 NZTC 61,066; [1976] 1 NZLR 546 (PC), where the opposite conclusion was reached in relation to revised contractual arrangements under which the refining profit was received by a subsidiary company and not Europa Oil itself.

Income-earning activities must exist.

Example:

No deduction is allowed for the loss suffered when there is a misappropriation of funds that had been given for investment in income-earning schemes to a person who turned out to be a fraudster. The income-earning activity never started because of the misappropriation. See *Calkin v C of IR* (1984) 6 NZTC 61,781 (CA).

No double deduction.

Example:

The cost of purchases of stock for a new business does not attract two deductions, one under the general permission and the other under the trading stock provisions. See *BASF New Zealand Ltd v C of IR* (1997) 18 NZTC 13,322 (CA) (and note also that s BD 4(5) provides that any allocation of an expenditure or loss to more than one income year cannot exceed the amount of the expenditure or loss).

An intention to derive a profit.

Example:

A parent company agreed to pay the financing and overhead expenses of a subsidiary company in return for a share of the profits from the sale of one of the subsidiary's property developments in circumstances where the property was likely to be sold at a significant loss. No deduction was allowed, even though a taxpayer in business "... does not have to show that, realistically, there was a reasonable prospect of profit. The existence of a genuine intention, however ill-founded, to carry on business for profit is enough. But a claimed intention may be viewed with some scepticism if, on an objective examination of the realities at the time, it appears that, even in the longer term, a profitable outcome was impossible or highly unlikely. Lack of a reasonable prospect of profit may indicate that, no matter what legal entitlement to a profit may have existed, the taxpayer did not make the expenditure with that intention". See *Mainzeal Holdings Ltd v C of IR* (2001) 20 NZTC 17,409 (CA).

Tax-avoidance advice not deductible.

Example:

A company that participated in the “J G Russell template”, by which the company paid its profits to a loss company under a tax-avoidance arrangement for the benefit of the company's shareholders, was not allowed a deduction for a consultant's fees to the extent that they related to advice on the tax-avoidance arrangement. See *Miller v C of IR*; *Managed Fashions Ltd v C of IR* ([1998](#)) 18 NZTC 13,961 (CA).

Law: IT07 ss [BD 1\(3\)](#), [\(5\)](#), [DA 1](#)

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Apportionment of deductions [¶10-032]

[¶10-032]

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The general permission and the general limitations incorporate the concept of apportionment. An expenditure or loss is allowed as a deduction “to the extent” that it is incurred in deriving assessable income. An expenditure or loss is not allowed as a deduction “to the extent” that a general limitation applies.

As a general proposition, there are no statutory provisions which specify how the concept of apportionment is to be applied. The exceptions to this are the specific apportionment rules contained in subpt [DG](#) for certain mixed-use assets, namely land and certain boats and aircraft used partly for business and partly for private use ([¶10-035](#)), and the statutory guidance provided in subpt [DE](#) on the motor vehicle expenses of the self-employed person ([¶10-710](#)).

Buckley & Young Ltd v C of IR ([1978](#)) 3 NZTC 61,271 is the leading case identifying the situation in which an apportionment is to be made. The categories of apportionment identified were as follows:

- # the apportionment of expenses on an asset used for both business and private purposes may be fairly based on factual use or availability for use, for business purposes and private purposes
- # a pro rata basis, by reference to the advantages generated by the expenditure
- # cash value equivalent when the benefit gained is not in the form of cash, and
- # when the advantage cannot be quantified, other non-monetary factors may point to a reasonable basis of apportionment.

In *Buckley & Young*, the Court of Appeal said that a fair balance must be maintained and that the onus of proof must be applied in a broad and commonsense way. The taxpayer must be able to point to some intelligible basis upon which a positive finding can be made that a defined part of the total sum is deductible. The final question is whether the taxpayer has discharged the onus of demonstrating that the Commissioner’s assessment is wrong and, if so, why it was wrong and the extent to which it was wrong. The taxpayer must demonstrate affirmatively that at least a minimum quantifiable sum is deductible. Unless there is sufficient evidence to justify a conclusion that some particular part or a minimum fractional share of the total expenditure is actually attributable to a deductible item, any answer will have failed to discharge the onus of proof.

Example:

The calculation for apportionment of dual purpose expenditure cannot be based on insufficient evidence. Although it is not necessary for there to be some kind of scientific process or absolute precision, there must be some basis upon which a calculation can be made other than speculation. See *Christchurch Press Co Ltd v C of IR* ([1994](#)) 16 NZTC 11,124.

FC of T v Metal Manufactures Ltd 2001 ATC 4152 concerned a sale and leaseback of substantial manufacturing premises. The vendor/lessee was not granted a right to repurchase the premises at the end of the 5-year lease term, but the parties anticipated that repurchase would occur. The payments of rental were allowed as a deduction in full with no abatement for the alleged collateral advantage of being able to reacquire the premises at the end of the lease term. The lessee had no legal right to reacquire the premises. In a companion case involving the sale and leaseback of an ammonia plant, the court said that there needs to be more than a casual relationship between the outgoings for rent and the expected repurchase of the plant before an apportionment of the rental may be made. Events such as obsolescence, destruction or insolvency may emerge before the end of the lease to leave the purchaser/lessor with the plant. See *Eastern Nitrogen Ltd v FC of T* 2001 ATC 4164.

To determine the range of apportionable benefits, the legal rights test must be applied. By the outgoing, does the taxpayer acquire a legally enforceable right to have some act performed that confers a benefit in money or money’s worth upon the taxpayer or some other person?

Example:

A petroleum company's legal rights extended only to the delivery of petroleum. This meant that refining profits shared by the vendor with a related company of the taxpayer could not be applied by the Commissioner to reduce the deduction claimed for petroleum purchases. See *Europa Oil (NZ) Ltd v C of IR (No 2)*; *C of IR v Europa Oil (NZ) Ltd (No 2)* (1976) 2 NZTC 61,066 (PC).

Another restriction on the power of apportionment is that the Commissioner may only apportion the non-income-producing benefits that are conferred on the taxpayer. In some cases the non-income-producing benefit is an unavoidable effect of the outgoing and not part of the purpose itself. In such a case the inevitable by-product should not be an apportionable benefit.

Example:

A parent company incurs expenditure benefiting a subsidiary but really intends to benefit only itself. A parent company was allowed a deduction for the salary costs of an employee seconded to manage an ailing subsidiary, because assistance to the subsidiary ensured continued purchase of the parent's products by the subsidiary: *Robinson (I of T) v Scott Bader & Co Ltd* [1981] 1 WLR 1135.

Example:

An apportionment of an interest expense was rejected to allow full deductibility, even though the main purpose of the borrowing was to realise an enhanced capital gain rather than increased trading income. See *Pacific Rendezvous Ltd v C of IR* (1986) 8 NZTC 5,146.

Example:

Fees for advice from the promoter of a tax-avoidance scheme which also included general financial advice and assistance was allowed as a deduction only to the extent that the advice was referable to the latter component. A deduction based upon a rate of \$250 per hour for the consultant was allowed. See *Miller v C of IR*; *Managed Fashions Ltd v C of IR* (1998) 18 NZTC 13,961.

Law: IT07 ss [DA 1](#), [DA 2](#)

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Mixed-use assets [¶10-035]

[¶10-035]

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Special apportionment rules apply where expenditure is incurred on land, boats or aircraft that are used for both business and private purposes. Use of an asset means the active use of the asset for its intended purpose.

Assets subject to the rules

Subpart [DG](#) applies to certain assets in the following circumstances:

- # the asset is used both for deriving income and for private use
- # the asset is:
 - # land, including improvements, or
 - # a ship, boat or craft used in navigation on or under water, or an aircraft, that has a cost of \$50,000 or more or a market value of \$50,000 or more on date of acquisition if not acquired at market value, and

includes any related item, things or accessories (such as furniture in a holiday home or life jackets on a yacht), and

- # the asset is not in use for at least 62 days (or 62 working days if typically only used on working days) in the income year.

An asset is excluded from the rules in the following circumstances:

- # the use of the asset meets the following criteria:
 - # the private use is minor
 - # the main use of the asset is in a business (excluding a rental or charter business)
 - # for a company or trust, use of the asset imposes a liability to pay fringe benefit tax or income tax, or
 - # the asset is a residential property and its only income-earning use is as a long-term rental property.

One of the most common situations where the mixed-use asset rules apply is that of a holiday home that is rented to the public for short-term stays. Questions We've Been Asked [QB 25/02](#) "Income tax – Which rules apply if I have a dwelling I sometimes rent out as short-stay accommodation and also sometimes use privately?" considers whether the mixed-use asset rules or the standard tax rules apply to claim expenditure for property that is used both privately and for providing short stays to other people. If it is determined that the mixed-use asset rules do apply, then [QB 25/03](#) "Income tax – How do the mixed-use asset rules apply if I provide short-stay accommodation?" applies. These items, and the others in the series, are discussed at [¶10-113](#).

The rules apply to relevant mixed-use assets held by sole traders, trusts, partnerships and close companies. Note that the definition of a "close company" was previously modified for these rules so that a reference to a "natural person" in the definition included a reference to a "trustee". Thus, whereas the Act normally required five or fewer natural persons to hold 50% or more of the voting interests in a company for it to be a close company, under the mixed-use asset rules the majority of the shares in a company could be held by a trustee and the company would still be treated as a close company. However, with effect from 29 March 2018, the normal definition of a "close company" has been amended to include trustees in all cases.

Where these rules apply, the entertainment expenditure rules do not apply and there is no fringe benefit tax liability. However, the deemed dividend rules may still apply. The mixed-use asset rules also override the interest deduction provisions — ss [DB 5](#), [DB 7](#) and [DB 8](#).

For the 2021–2022 to 2024–2025 income years, if the mixed-use asset is disallowed residential property ([¶10-814](#)), deductions for interest are permitted to the extent to which the mixed-use asset rules permit a

deduction, and the interest limitation rules contained in subpart [DH](#) do not disallow a deduction. From 1 April 2025 the interest limitation rules are repealed.

Private use

Importantly, where a natural person who owns, leases, licences or otherwise has the asset uses the asset, even for market value consideration, this is caught within the ambit of the rules. This is because the legislation defines “private use” as use of the asset by such a person, regardless of whether an amount of income is derived in relation to its use. However, any amount that is derived is treated as exempt income. The same applies to the use of an asset by a natural person who is associated with a person (including a non-natural person, such as a company or trust) who owns, leases, licenses or otherwise has the asset. Note that under the mixed-use asset rules, a company and a person are only associated if the person’s share in the company gives them a right to use the asset.

“Private use” also includes provision of the asset to other parties for less than 80% of market value, with market value specifically defined using the concepts of open market, ordinary terms and arm’s length. It is not intended to capture situations when an asset is rented by an unrelated person at a reduced price for reasons such as the asset being rented in an off-peak period, for a longer period than usual or to establish profile or market share. Exclusions include: assets used to derive income where the use of the assets is limited to use in the ordinary course of business or deriving the person’s employment income; the required use of an asset to repair damage suffered by it; and the necessary use of an asset to relocate it for the income-earning purpose.

Example:

Mary owns a launch. During the course of an income year, she takes her family out on the launch, she lets her brother use the launch (paying the market rate of \$200 per day) and she lets her friend use the launch (paying fuel costs only at the rate of \$50 per day). All these uses are instances of private use. When Mary rents out the launch to non-associates at market rates, takes the launch to another port for rental to non-associates at \$250 per day and then back again to the home port, or takes the launch to a boatyard for repair after damage was caused by a non-associate during a rental period, none of these instances is private use.

To align the treatment of income and expenditure related to private use, any income derived from private use is treated as non-assessable.

Apportionment of expenditure

Expenditure that relates solely to business use of the asset (such as advertising expenditure) is not subject to apportionment and is fully deductible. In addition, expenditure that relates solely to private use or solely to capital use is non-deductible. Thus, the apportionment rules apply to general expenditure that is not specifically attributable to either business, private or capital use. Note that the rules provide that expenditure on repairs and maintenance will always be subject to apportionment. The only exception to this is where costs are incurred to repair explicit damage caused when an asset is used to earn income (for example, if renters cause damage to a bach during the rental period, the costs of repairing that damage is deductible in full).

In addition, if some or all of the expenditure on an asset is apportioned for tax purposes on the basis of space, floor area or a similar basis, that method of apportionment overrides the rules in subpt [DG](#) to the extent of the amount of the deduction. Thus, for example, the mixed-asset rules will not apply to a home office where the expense claim is based on floor area.

Where the criteria listed above are satisfied, s [DG 9\(2\)](#) provides a formula that apportions the expenditure between “income-earning days” and the total of income-earning days plus counted days (being the total number of days when the asset is in use, excluding income-earning days). The proportion of expenditure that is deductible is calculated by multiplying the expenditure by the following formula:

$$\text{income-earning days} \div (\text{income-earning days} + \text{counted days}).$$

Example:

Jim rents out his aeroplane at market value for 100 hours in an income year and uses it for his personal enjoyment for 50 hours. Jim incurs expenditure of \$10,000 for general repairs and maintenance of the plane. He may deduct two-thirds of the expenditure. The formula is $\$10,000 \times (100/(100 + 50)) = \$6,666.67$.

Treatment of interest when asset held in corporate structure

Special rules determine the interest expenditure to which the apportionment calculation applies when mixed-use assets are held by close companies. These rules counteract any possible tax advantage to holding mixed-use assets in a corporate structure because of the automatic deduction for interest for companies and the ability of shareholders to deduct interest they incur on debt to buy shares. The amount subject to apportionment depends on whether the company's debt value is equal to or less than the asset value, or more than the asset value. For these purposes, the asset value and debt value are defined as follows:

asset value means the adjusted tax value of the property, except in the case of land. For land and land improvements, asset value is the following amount, as applicable:

- # the later of its most recent local body capital value or annual value or its acquisition cost or, if the transaction involves an associated person, its market value
- # if it is a leasehold estate, the market value of the leasehold estate, based on a registered valuation less than three years old, and
- # if different activities are carried out on a single piece of land, the value determined under either of the above bullet points adjusted:
- # by multiplying the value by the percentage of the land area used for the mixed-use activity, or
- # by a registered valuation of the portion of the land used that is less than three years old, and

debt value means the average outstanding amount giving rise to the interest payable by the company, based on the amounts outstanding at the start and the end of the income year.

If the value of the company's debt is equal to or less than the value of the mixed-use asset, all of the company's interest is subject to apportionment. The company is allowed a deduction of the amount calculated under the formula in s [DG 11\(3B\)](#):

$$\text{interest expenditure} \times (\text{income-earning days} + \text{capital-use days}) \div (\text{income-earning days} + \text{counted days}).$$

If the debt value is more than the asset value, then the above apportionment formula is only applied to a reduced amount of the company's interest expenditure. That reduced amount is calculated by multiplying the interest expenditure by:

$$\text{asset value} \div \text{debt value}.$$

The company is allowed a deduction for the interest expenditure in excess of the reduced amount to the extent to which it would be deductible under the general interest deductibility rules. For a company, this usually means it is fully deductible under s [DB 7](#).

If a company has more than one mixed-use asset, the debt value is reduced by amounts already taken into account under subpart [DG](#). This reduction applies when:

- # there is no net asset balance
- # the debt value of a group company is greater than another group member's net asset balance, or
- # a corporate shareholder's debt value exceeds its share of the net asset balance of the company in which the shares are held.

Example:

Holiday Home Ltd holds a holiday home with a rateable value of \$200,000. The company has debt of \$40,000, with associated interest expenditure of \$4,000. Since the debt value is less than the asset value, all the interest expenditure must be apportioned using the formula in s [DG 11\(3B\)](#).

Boat Ltd has a charter boat that has an adjusted tax value of \$60,000. The company has debt of \$100,000, with associated interest expenditure of \$10,000. Since the debt value is more than the asset value, the company must calculate how much of its interest expenditure is subject to apportionment. The amount subject to apportionment is \$6,000 ($\$10,000 \times (\$60,000/\$100,000)$). Therefore, \$6,000 of interest expenditure must be apportioned using the formula in s [DG 11\(3B\)](#).

The remaining interest expenditure of \$4,000 ($\$10,000 - \$6,000$) is not subject to apportionment under subpart [DG](#) and is allowed as a deduction under s [DB 7](#).

If the asset value of a company exceeds the debt value, that excess (the net asset balance) may be attributed out to other companies in the same group one at a time. Each group company's interest expenditure is apportioned in the same way as the company holding the mixed-use asset, except that the group company's debt value is compared to the net asset balance, rather than the asset value. The net asset balance is reduced each time by each group company's debt value. If a net asset balance remains after applying the rules to the company holding the mixed-use asset and any group companies, the same rules are then applied to corporate shareholders, although the net asset balance applied is calculated by reference to their voting interests. If a net asset balance still remains, the rules are then applied to non-corporate shareholders. The rules generally do not apply to a shareholder with less than a 50% interest in the relevant company and who did not have any private use of the asset.

Example:

Holiday Home Ltd has an asset balance of \$160,000 ($\$200,000 - \$40,000$) and is wholly owned by Parent Ltd. Parent has debt of \$30,000, with associated interest expenditure of \$3,000. Since Parent's debt value is less than the asset balance, all of Parent's interest expenditure must be apportioned. The new net asset balance is \$130,000.

Parent Ltd has 2 equal corporate shareholders, company Y, which has debt of \$20,000 with associated interest expenditure of \$2,000, and company Z, which has debt of \$70,000 with associated interest expenditure of \$7,000. Both companies' share of the net asset balance is \$65,000 ($\$130,000 \times 50\%$). Since company Y's debt value is less than its share of the net asset balance, all of its interest expenditure must be apportioned. Company Z's debt value is greater than its share of the net asset balance, so it must apportion interest expenditure of \$6,500 ($\$7,000 \times (\$65,000/\$70,000)$). Company Y has a net asset balance remaining of \$45,000 ($\$65,000 - \$20,000$).

Company Y has 2 shareholders, Thomas, who has borrowed \$200,000 to acquire a 50% interest in the company, and Brent, who has borrowed \$10,000 to buy his 50% interest. Each has a 50% share of the remaining net asset balance, so each has \$22,500. Since Thomas's debt value is greater than his share of the net asset balance, Thomas must apportion 11.25% of his total interest expenditure ($22,500/200,000$). Since Brent's debt value is less than his share of the net asset balance, all of Brent's interest expenditure must be apportioned.

Information to be provided

Companies holding mixed-use assets must provide the following information to their shareholders for each income year to enable them to make the relevant calculations:

- # their share of a net asset balance
- # their share of an outstanding profit balance, and
- # any other necessary information.

Expenditure quarantining rules

Special rules also apply to quarantine expenditure where the amount of income derived from the asset, other than exempt income, is less than 2% of the asset's capital value or cost in the case of land, or adjusted tax value for other property. In those circumstances, the amount of the person's expenditure after apportionment is not deductible to the extent it exceeds their income. The quarantined expenditure can be offset against profits in subsequent income years.

Example:

David has a city apartment with a rateable value of \$300,000. He rents out the apartment and also uses it privately. He receives market rate rental of \$4,000 from non-associates and \$6,000 from associates. David's total allowable expenditure, under ss [DG 7](#), [DG 8](#) and [DG 11](#), is \$15,000. Since David's income from non-associates is less than 2% of the apartment's rateable value, the

excess expenditure of \$11,000 is denied as a deduction. The amount denied may be allocated to a later income year under s [DG 17](#).

Where the mixed-use asset is held in a corporate structure, additional rules are provided to deal with the quarantining of expenditure. Apportioned interest expenditure identified in group companies and shareholders may be subject to quarantining. However, where the company holding the asset has an outstanding profit balance, that profit may be notionally allocated to group companies and shareholders and apportioned interest amounts may be deductible against other income to that extent.

Opting out of the provisions

Where the income derived from the use of the asset is less than \$4,000 (excluding income from associated persons or income that is less than 80% of market value), the person who has the asset may choose to treat the income as exempt and effectively opt out of the apportionment rules. Any expenditure incurred in relation to the asset will then be non-deductible. The decision to opt out is made each year and can change from year to year. Companies holding mixed-use assets cannot use the opt-out provisions.

Interest limitation rules

For interest expenditure subject to apportionment under the formula in s [DG 9](#), that apportioned interest expenditure may then be subject to the interest limitation rules if the asset is disallowed residential property ([¶10-814](#)). If the owner of the asset has a grandfathered transitional loan, a portion of the interest permitted under the mixed-use asset rules may then be denied as a deduction under the interest limitation rules. For further discussion of the interaction between the mixed-use asset rules and the interest limitation rules, see [IS 23/04](#), “The interest limitation rules and short-stay accommodation”, discussed at [¶10-113](#). The interest limitation rules are repealed from 1 April 2025.

Law: IT07 subpt [DG](#)

Last reviewed on 31 December 2025

Changing between standard deduction rules and mixed-use asset rules [¶10-037]

[¶10-037]

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When a taxpayer derives income from a residential property, they must determine which set of deduction rules to apply. The use of the property may change from residential rental (under a lease), to use as short-stay accommodation (¶10-113) or may even be party used as a private residence. It is important that a taxpayer knows which rules to apply and the inter-relationship of the various limitations which may apply. To that end, a person must keep track of the use of residential property throughout a tax year to determine which rules apply.

Interpretation statement

Interpretation statement [IS 25/08](#) “Income tax – implications of a residential property moving between the standard tax rules and the mixed-use asset rules” considers situations where a person’s use of their residential property has changed so the property moves from being under one set of income tax deduction rules to another. The statement explains how a person determines which income tax deduction rules apply and the consequences of moving between the standard tax rules (¶10-021 and ¶10-032) and the mixed-use asset rules (¶10-035). The statement only applies to persons owing residential properties and does not apply to property owned by companies (including close companies).

The interpretation statement is accompanied by 2 draft fact sheets. The first fact sheet covers situations where there is a change from the mixed-use asset rules to the standard tax rules. The second fact sheet considers the reverse — when there is a change from the standard tax rules to the mixed-use asset rules.

See Flowchart 1 in [IS 25/08](#) which assists in determining which set of income tax deduction rules apply.

Each year a person must revisit the rules if there has been a change of use of the residential property in that income year. The mixed-use asset rules apply on an income year basis, so once a property falls within those rules, they apply for the entire income year.

Calculating depreciation deductions

If a residential property is being used to derive income, a person can claim depreciation in relation to depreciable property. The proportion of depreciation a person is able to claim may be impacted by the proportion of use that asset has in respect of the income earning activity. If the mixed-use rules apply, then a formula applies (s [DG 9](#)).

Disposal of depreciable property

When an item of depreciable property is disposed of, depreciation recovery income or depreciation loss on sale must be calculated. The method for calculating depreciation recovery income/loss on sale is the same for both the standard tax rules and mixed-use asset rules.

However, a person cannot offset any prior-year mixed-use asset quarantined expenditure against depreciation recovery income. Depreciation recovery income is not asset income (that is, income derived from the use of the mixed-use asset).

If the residential property ring-fencing rules (¶17-365) apply to the property in the income year an item of depreciable property is sold, a person can offset unused excess deductions against depreciation recovery income they derive on the sale of the item. However, if the residential property ring-fencing rules do not apply in the income year of sale, a person cannot offset unused excess deductions against depreciation recovery income.

Prior year quarantined expenditure or unused excess deductions

If the property has been subject to the mixed-use asset rules, some expenditure may be quarantined. Where the quarantined expenditure rules apply, the person may only deduct their expenses up to the amount of rental income they received from the mixed-use asset. Excess expenditure cannot be offset against other income, like salary and wages. The excess amount is quarantined and carried forward to use in future income years.

The item has detailed commentary on offsetting prior year quarantined expenditure against current year income. It also covers the application of the ring-fencing rules and the unused excess deductions that arise under those rules. These excess deductions are carried forward and their utilisation will depend on whether the ring-fencing rules were applied on a portfolio or a property-by-property basis ([17-365](#)).

Law: IT07 s [DA 1](#), subpts [DG](#), [EL](#)

Last reviewed on 31 December 2025

Timing of deductions [¶10-040]

[¶10-040]

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The general permission requires an expenditure or loss, including a depreciation loss, to be incurred. The time of incurrence must be determined, having regard to case law, which requires some people to recognise expenditure or loss on an accrual basis and others on a cash basis and, more generally, defines the concept of incurrence.

Example:

A forestry company with an interest liability contingent on the sale of a forest was held not to have incurred interest expenditure prior to that date. See *AM Bisley & Co Ltd v C of IR* ([1985](#)) 7 NZTC 5,082.

There must also be an ascertained liability, although an outgoing that is defeasible is still incurred while an outgoing that is contingent is not.

Example:

A company resolved to pay directors' fees, being the greater of the fees of the prior year or the profits for the present year. The directors, though, could elect to accept a lesser sum. It was held that the directors' fees were deductible in the income year the resolution was passed. The issue to be decided by the court was whether the company had incurred the expenditure in the income year in which the resolution was passed so that it would be deductible in that same year. The court held that the company was definitely committed to payment of the fees. It did not matter that the company's commitment could be diminished or avoided by the action of others, nor did it matter that quantification was not to occur until later. With a formula for quantification there was, as at the end of the income year, a commitment by the company to the directors. See *C of IR v Glen Eden Metal Spinners Ltd* ([1990](#)) 12 NZTC 7,270 (CA).

A depreciation loss is a measure of the physical deterioration and decline in value of an asset being used to produce income. An amount of a depreciation loss is treated as being incurred in the income year for which it is calculated.

An expenditure or loss satisfying the general permission is not necessarily allowed as a deduction in the income year it is incurred. It is deductible in the year incurred unless a provision in Pts D and I provides for allocation on another basis: s [BD 4\(2\)](#). The allocation of deductions may also be modified by provisions in Pt E. Subject to the possibility of exemption, the deduction of outgoings classified as prepayments are deferred so as to be matched with their term or the income generated. There are further matching rules for prepayments and outgoings for employment income ([¶10-052](#)). The requirement to adopt a spreading method for the recognition of income and expenditure under a financial arrangement is another regime that may result in the allocation of a deduction to an income year different from the year of incurrence. Further rules apply to deductions arising from limited recourse loans ([¶10-061](#)).

Section [BD 4\(5\)](#) provides that any allocation of an expenditure or loss to more than one income year cannot exceed the amount of the expenditure or loss.

Meaning of Incurred

The test developed by the case law on when an expenditure or loss is incurred is the point at which the taxpayer is "definitively committed" to the outgoing. *King v C of IR* ([1973](#)) 1 NZTC 61,107 (SC) concerned a borrowing raised from the State Advances Corporation for farming purposes on terms providing for a contribution of \$1,354 to a reserve fund. The \$1,354 was added to the principal upon draw down of the loan for it to be repaid out of subsequent loan servicing payments. The High Court decided that the \$1,354 was expenditure incurred in the year of draw down. From the case law, the High Court identified the principle that expenditure is incurred when the taxpayer is definitively committed to it. It is not necessary that there should have been an actual disbursement of funds. In the present case, the taxpayers were definitively committed to payment of the contribution upon draw down of the loan.

C of IR v Mitsubishi Motors New Zealand Ltd (1995) 17 NZTC 12,351 concerned a motor vehicle manufacturer that claimed a deduction for a provision raised at balance date to cover the estimated cost of meeting vehicle warranty claims relating to vehicles sold during the year. The taxpayer's experience was that some 63% of vehicles sold required some remedial work under the warranties. The taxpayer was able to make a reasonably accurate forecast, based on previous experience, of what would be the total cost of remedial work on all vehicles sold during the year.

The Privy Council thought that it was significant that the defects giving rise to the warranty claims in due course were latent defects present at the time the vehicle left the factory. The question then became whether, in light of all the surrounding circumstances, a legal obligation to make a payment in the future could be said to have accrued (disregarding merely theoretical contingencies). In the present case, the taxpayer could be said to be definitively committed to its estimate of the expenditure necessary to remedy the latent defects. At balance date, those defects were an existing fact and not a future contingency. The taxpayer would be required to perform the remedial work under the vehicle warranty.

The *Mitsubishi* decision was the subject of an extensive discussion by the Commissioner in an interpretation statement published in the Appendix to *Tax Information Bulletin* ¶106-101 Vol 10, No 6, June 1998. The item discusses what is required to arrive at a reasonable estimate of future costs, like warranty costs, observing that some method based on past experience needs to be adopted rather than arbitrarily seizing on a figure. The Commissioner also concluded that the provisions on prepayments are unlikely to apply to warranty expenditure incurred in circumstances similar to those which arose in *Mitsubishi*.

Example:

No liability for land tax was incurred as at 31 March, because no annual taxing Act had been passed imposing the tax by that date. See *C of IR v McDonald and Watson* (1990) 12 NZTC 7,314 (CA).

Example:

Employee bonuses for an income year had not been incurred by balance date, because the total quantum of the year's bonuses, and whether the employer would actually exercise its discretion to pay one in any particular case, had not been determined by balance date. For the expenditure on the year's bonuses to have been incurred by balance date, there must be a legal liability to pay them and not just a commercial certainty that they would be paid. See *Merrill Lynch International (Australia) Ltd v FC of T* 2001 ATC 4541.

Example:

Concession fees payable for the right to operate a toll road system were incurred when notes for their payment were issued every six months, even though the amount to be paid under the note was not due for payment for several years. The note issuer was completely subject to and definitively committed to paying the concession fees that accrued over each 6-month period. See *City Link Melbourne Ltd v FC of T* 2004 ATC 4945.

Example:

Accountancy fees are deductible in the year in which the accounting services are performed, even if the services relate to an earlier accounting year. Arguably though, if the taxpayer had a genuine commercial commitment to pay the fees for year-end accounting services at the end of the tax year, a deduction may be allowable. See *Case Y17* (2008) 23 NZTC 13,171.

Interest on close company shareholder loan accounts

Interest charged on shareholder's current accounts (being essentially a loan from the shareholder to the company) is commonly determined and calculated during preparation of the year-end accounts (ie after balance date). This is especially true of close companies with only a few shareholders, as interest owing to shareholders may depend on the company's profitability.

QWBA QB 22/10 "Can a close company deduct interest on a shareholder loan account where the amount is not known until after balance date?" discusses this issue and sets out the requirements that must be met if a deduction is claimed when the quantum has not been determined at balance date. To be able to

claim interest for a particular income year, the interest must be “incurred” on or before balance date, ie there must be a legal obligation to pay the interest at balance date. For close companies, the directors must have decided to pay the interest and agreed how to calculate the interest, on or before balance date. The directors’ decisions (including the method of calculation) should be evidenced in written agreements, meeting minutes, directors’ resolutions, correspondence with shareholders or other written confirmation. Methods of calculating the amount of interest payable could be based on, for example, a bank rate at a given date, or interest rates used in previous years.

Example:

The Closet Company Ltd has a business offering home storage solutions. Its 5 shareholders are all family members. Two of the shareholders are also directors. When the company was first established in July 2021, the directors discussed the payment of interest on shareholder loan accounts at a board meeting. They agreed that an interest rate of 1% more than the interest rate on balance date, on a 1-year fixed term deposit at Milton Bank, will be applied to the balance of the individual shareholder loan accounts at balance date. This decision is recorded in the minutes kept by the Closet Company Ltd.

The Closet Company Ltd has incurred an interest expense in the income year. The amount of interest payable can be calculated using the current Milton Bank interest rate at balance date. The company can also rely on the board meeting minutes to demonstrate its obligation to make payment and the method it used to calculate the interest amount.

Example from [QB 22/10](#).

For a detailed discussion on overdrawn shareholder loan account balances, see [116-582](#).

Law: IT07 ss [BD 4](#), [EE 1\(4\)](#)

Last reviewed on 31 December 2025

Deductions for prepayments [¶10-052]

[¶10-052]

[Click to open document in a browser](#)

Expenditure allowed as a deduction, some part of which is unexpired at balance date, is subject to the treatment that:

- # the unexpired portion at balance date is income for the income year, and
- # the unexpired portion is allowed as a deduction in the following income year.

If necessary, this treatment is repeated in subsequent income years, until the point is reached that there is no unexpired portion for the expenditure.

There are exclusions and exemptions. The exclusions encompass expenditure subject to the regimes concerning revenue account property, trading stock, livestock, excepted financial arrangements, lease inducement payments, films, petroleum exploration or development, mining exploration or development, specified leases, personal property leases and financial arrangements. The exemptions are incorporated in a determination issued by the Commissioner ([¶10-056](#)).

The deduction allowed in the following income year for a year's unexpired portion is allowed under s [DB 50](#). That provision operates as a supplement to the general permission. The general limitations continue to apply, but not to the extent that they were excluded when the deduction was allowed in the first instance.

From 1 April 2017, the unexpired portion of expenditure on pieces that are fitted to an aircraft engine as part of an aircraft engine overhaul is treated as being expenditure incurred in carrying out the aircraft engine overhaul for the purposes of ss [DW 5](#) and [DW 6](#) ([¶10-127](#)) and the deduction in s [DB 50](#) does not apply.

The deduction allowed for expenditure on the payment of employment income may also be deferred if it is not actually paid within specified periods of balance date ([¶10-292](#)).

The unexpired portion of an expenditure is ascertained by reference to what the outgoing is incurred on.

Goods: There is an unexpired portion of expenditure on goods if, at the end of the income year, the goods have not been used up in deriving income, and they are not destroyed or rendered useless for deriving income. Goods are all forms of real or personal property with the exception of a chose in action, money or a product transmitted by a non-resident to a resident by wire, cable, radio or similar means. Since goods include real property, there is an unexpired portion in relation to expenditure on the purchase of land that is work in progress at balance date under a land subdivision scheme. See *Thornton Estates Ltd v C of IR* ([\(1998\) 18 NZTC 13,577](#)).

Services: There is an unexpired portion of expenditure on services if the services have not been performed by the end of the income year. Services are anything that are not goods, money or a chose in action.

Chose in action: There is an unexpired portion of expenditure on a chose in action, if there is an amount relating to a period of enforceability falling after the end of the income year. A chose in action is a thing that cannot be possessed but only enforced by legal proceedings, such as a debt, a royalty agreement or an insurance contract. It can include a fishing quota: *Tax Information Bulletin* [¶1512-101 Vol 15, No 12](#), December 2003 at 23.

Reimbursing allowances: In the case of an exempt reimbursing allowance payable to an employee ([¶13-425 – ¶13-449](#)), any unexpired portion of the expenditure is ascertained on the basis that the employee's services were performed in the income year in which the employee's expenditure is expected to occur. The consequence is that a reimbursing allowance would have an unexpired portion at the end of an income year only if the employee is expected to meet the reimbursed cost after that income year.

Upon the death of a taxpayer, the unexpired portion of a prepayment passes to the administrator of the estate. The same applies if the administrator makes a distribution to a person beneficially entitled to the distribution. The standard treatment of determining a year's unexpired portion of the expenditure is applied by the administrator or the beneficiary, as appropriate.

Law: IT07 ss [CH 2](#), [DB 50](#), [EA 3](#), [FC 7](#)

Last reviewed on 31 December 2025

Prepayments — exemptions [¶10-056]

[¶10-056]

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Determination [E12](#) states what expenses incurred in an income year are excluded from the prepayments provisions requiring an add back for the unexpired portion of the outgoing. There are three components of the determination:

column 1 describes the expenditure potentially exempted from the prepayments provisions

column 2 provides for a maximum amount of the unexpired portion for some of the expenses, if the exemption is to be available

column 3 provides for a maximum term for some of the expenses, if the exemption is to be available.

No exemption is available if the deduction is deferred to a later income year for financial reporting purposes. The exemptions incorporated in the determination are shown in the table below. The table is applied to a partnership as if it was a single person.

Description of expenditure		Maximum total amount of unexpired portions	Time period between balance date and expiry date
Column 1		Column 2	Column 3
a)	rental for the lease of land or buildings relating to a period ending more than 1 month after balance date	\$26,000	6 months
b)	rental for the lease of land or buildings other than rental dealt with elsewhere in this determination	—	1 month
c)	rental for the lease or bailment of livestock or bloodstock	\$26,000	6 months
d)	payment for purchase of consumable aids	\$58,000	unlimited
e)	insurance premiums under an insurance contract if the total amount of such expenditure incurred in the income year in respect of the contract does not exceed \$12,000	—	12 months
f)	payment in respect of equipment service contracts or warranties if the consideration for the contract or warranty forms an inseparable and indeterminate part of the consideration for the asset or assets to which it relates	—	unlimited
g)	payment in respect of a contract for the service or maintenance of plant, equipment, or machinery if the total amount of such expenditure incurred in the income year in respect of the contract does not exceed \$23,000	—	3 months
h)	payment for the use or maintenance of telephone and other communication equipment	—	2 months
i)	costs of services, other than those dealt with elsewhere in this determination	\$14,000	6 months
j)	periodic charges, other than those dealt with elsewhere in this determination	\$14,000	12 months
k)	purchase of stationery	—	unlimited

l)	subscriptions for a newspaper, journal, or other periodical, including for the maintenance or annotation of a documentary information service	—	unlimited
m)	motor vehicle registration and drivers' licence fees	—	unlimited
n)	subscriptions, or other fees (but excluding any payment in respect of a franchise agreement) entitling membership of any trade, professional, or other association if the amount of such expenditure incurred in the income year in respect of the association does not exceed \$6,000	—	12 months
o)	costs on postal and courier services, including such expenditure for franking, private post boxes and private postbags, business reply post and freepost, and expenditure evidenced by the possession of postal stamps	—	unlimited
p)	rates made and levied under Pt 3 of the Local Government (Rating) Act 2002 to the extent of the amount invoiced on or before balance date	—	unlimited
q)	advance bookings for travel and hotel or motel accommodation	\$14,000	6 months
r)	cost of advertising	\$14,000	6 months
s)	road-user charges	—	unlimited
t)	audit fees	—	unlimited
u)	mandatory accounting costs	—	unlimited
v)	expenditure described in s DB 3(1) of the Income Tax Act 2007 and not excluded by s DB 3(2) of that Act	—	unlimited
w)	direct claim settlement costs included in the outstanding claims reserve of a general insurer in relation to a contract of insurance, if the total gross claim cost (excluding GST) included in the outstanding claims reserve in relation to any 1 claim does not exceed \$65,000 (excluding GST)	—	unlimited

Law: IT07 s [EA 3](#); TAA s [91AAC](#)

Last reviewed on 31 December 2025

Deduction for limited recourse funding [¶10-061]

[¶10-061]

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The deduction allowed for expenditure funded out of a limited recourse loan may effectively be deferred until the taxpayer is at risk of having to repay the loan. This is achieved by adding back, as assessable income, a year's loss from the arrangement that is based upon the loan balance that has not been repaid.

Affected arrangements

An arrangement is subject to the rules deferring deductibility by the add back of income where the following criteria are satisfied:

- # a promoter promotes sale of the arrangement
- # deductions result from the arrangement for a participant or an affected associate that are more than any assessable income resulting from the arrangement
- # the deductions resulting from the arrangement arise up to 2 income years after the year the participant made the investment
- # there is a borrowing under a limited recourse loan
- # at the relevant balance date (of the year of investment or the following 2 income years), the participant and affected associates hold arrangement property with a cost that is:
 - # less than twice the limited recourse borrowings, and
 - # more than 142.85% of the cost of any included acceptable property (being land, buildings, plant, machinery, shares of 10% or less in a listed company, employee shares or options and foreign company shares assessable only under the FIF rules).

A limited recourse loan is a financial arrangement (that is not an excepted financial arrangement) that involves the provision of money:

- # with one or more of the following effects: relieving the borrower from the obligation to repay all or some of the loan, deferring repayment for 10 or more years and, in substance, securing repayment against assets employed in the arrangement, and
- # if the lender is not an associate of the borrower, the money is provided on non-arm's length terms and the lender is either a non-resident or a person who does not regularly lend on arm's length terms, or, if the lender is associated with the borrower, the lender obtained the money under a limited recourse loan.

The tests of association are those under subpt [YB](#) (Associated persons and nominees) that apply for the whole Act.

When ascertaining assessable income, deductions and the cost of property, any intra-group balances must be consolidated in accordance with generally accepted accounting practice. The income and deductions of partners and joint venturers are calculated by use of the proportionate method under generally accepted accounting practice for partnerships.

Calculation of deductions

The add back of income is to be made by a participant borrower where:

- # the participant has deductions exceeding income from the arrangement, and
- # at balance date, the arrangement involves a limited recourse loan.

A participant is treated as deriving assessable income from the arrangement calculated by the formula:

$$(\text{participant's excess deductions} \div \text{total individual excess deductions}) \times \text{total ineligible amount}$$

where:

participant's excess deductions is the amount of excess deductions over income from the arrangement for the income year for the participant

total individual excess deductions is the amount, for the income year, by which the total deductions from the arrangement are more than the total assessable income from the arrangement for the group that consists of the participant and each affected associate, and

total ineligible amount is the lesser of:

the total individual excess deductions for the group which has participated in the arrangement in the income year, and

the total limited recourse amount that, on balance date or the latest balance date of the participant and the affected associates, the participant or the affected associates have an undischarged obligation to repay as part of or for the purposes of the arrangement, ie the balance of the loan not repaid as at balance date.

The Commissioner's explanation of the rules on limited recourse funding at the time of their introduction can be found in *Tax Information Bulletin* [¶161-101 Vol 16, No 1](#), February 2004 at 58.

Law: IT07 ss [DB 58\(2\)](#), [GB 45–GB 48](#)

Last reviewed on 31 December 2025

Summary of general limitations for deductions [¶10-071]

[¶10-071]

[Click to open document in a browser](#)

If applicable, or to the extent applicable, any one of the general limitations operates to prevent deduction of an expenditure or loss, including a depreciation loss, under the general permission. An exception applies if there is a supplement to the general permission that operates to restore deductibility. The interaction between the general permission, the general limitations and supplements is outlined at [¶10-016](#).

General limitations

The general limitations comprise the following:

capital limitation: a deduction is denied for an expenditure or loss to the extent to which it is of a capital nature ([¶10-075](#))

private limitation: a deduction is denied for an expenditure or loss to the extent to which it is of a private or domestic nature ([¶10-078](#))

exempt income limitation: a deduction is denied for an expenditure or loss to the extent to which it is incurred in deriving exempt income ([¶10-080](#))

employment limitation: a deduction is denied for an expenditure or loss to the extent to which it is incurred in deriving income from employment ([¶10-082](#))

withholding tax limitation: a deduction for an expenditure or loss is denied to the extent to which it is incurred in deriving non-resident passive income subject to final withholding ([¶10-085](#)), and

non-residents' foreign-sourced income limitation: a deduction is denied for an expenditure or loss to the extent to which it is incurred in deriving non-residents' foreign-sourced income ([¶10-085](#)).

Law: IT07 s [DA 2](#)

Last reviewed on 31 December 2025

Capital limitation for deductions [¶10-075]

[¶10-075]

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A very large body of case law has developed under the topic of whether an outgoing is of a capital nature. The distinction between capital expenditure and revenue expenditure centres on the difference between the structure of a business (capital) and the regular conduct of the business (revenue). An expense that intends to produce an enduring benefit for the business is also often regarded as being of a capital nature.

Distinction between structure and process

This distinction between structure and process was clearly explained in *Sun Newspapers Ltd v FC of T* (1938) 61 CLR 337. The taxpayer was a newspaper publisher. To forestall a potential competitor entering the market, it agreed to pay £86,500 to purchase a shareholding interest in the competitor, to receive a non-competition covenant with a term of 3 years and to have ability to use some plant. The taxpayer supported deductibility of the payment on the ground that it was incurred for the purpose of earning more profit. The High Court of Australia rejected this view and held that the payment was capital expenditure and, as such, not allowed as a deduction. Dixon J explained the capital/revenue distinction as follows:

The distinction between expenditure and outgoings on revenue account and on capital account corresponds with the distinction between the business entity, structure, or organisation set up or established for the earning of profit and the process by which such an organisation operates to obtain regular returns by means of regular outlay, the difference between the outlay and returns representing profit or loss. The business structure or entity or organisation may assume any of an almost infinite variety of shapes and it may be difficult to comprehend under one description all the forms in which it may be manifested. In a trade or pursuit where little or no plant is required, it may be represented by no more than the intangible elements constituting what is commonly called goodwill, that is, widespread or general reputation, habitual patronage by clients or customers and an organised method of servicing their needs. At the other extreme it may consist in a great aggregate of buildings, machinery and plant all assembled and systematised as the material means by which an organised body of men produce and distribute commodities or perform services. But in spite of the entirely different forms, material and immaterial, in which it may be expressed, such sources of income contain or consist in what has been called a 'profit-yielding subject', the phrase of Lord Blackburn in *United Collieries Ltd v Inland Revenue Commissioners* (1930) SC 215 at p 220. As general conceptions it may not be difficult to distinguish between the profit-yielding subject and the process of operating it. In the same way expenditure and outlay upon establishing, replacing and enlarging the profit-yielding subject may in a general way appear to be a nature entirely different from the continual flow of working expenses which are or ought to be supplied continually out of the returns or revenue. The latter can be considered, estimated and determined only in relation to a period or interval of time, the former as at a point of time. For the one concerns the instrument for earning profits and the other the continuous process of its use or employment for that purpose.

Example:

Goodwill upon the purchase of a business is the purchase of a capital asset, so that a component of the price ascribed to the value of a customer list is capital expenditure. See *C of IR v LD Nathan & Co Ltd* [1972] NZLR 209.

Example:

A payment to a retiring director or employee not to compete with the business has the effect of buying off competition, so that by its very nature, it affects the value of the business' goodwill, and so is referable to the income-earning structure rather than the income-earning process. See *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 (CA).

Example:

Expenditure on the construction of earthworks and other improvements by a waste disposal business seeking to create a landfill site is of a capital nature, but may be allowed as a deduction under a supplement to the general permission. See *Waste Management NZ Ltd v C of IR* (1995) 17 NZTC 12,147 (CA). Similarly, expenditure incurred by a cement manufacturer to obtain consents for the use of quarry sites: the expenditure is part of the cost of creating the permanent structure which produces taxable income and not part of the costs of earning that income. See *Milburn NZ Ltd v C of IR* (2001) 20 NZTC 17,017.

Example:

To overcome leaks in its underground pipe network, the taxpayer embarked on a programme of inserting polyethylene piping into existing cast iron and steel piping. The expenditure was not simply on repairs and so of a revenue nature, because the programme effectively resulted in a system constructed of a new and different material. See *Auckland Gas Co Ltd v C of IR* (2000) 19 NZTC 15,702 (PC). To replace overhead power lines with underground cables also involves expenditure of a capital nature. See *Poverty Bay Electric Power Board v C of IR* (1999) 19 NZTC 15,001 (CA).

Enduring benefit

The test of an enduring benefit for the business can be traced back to *Atherton (I of T) v British Insulated and Helsby Cables Ltd* (1925) 10 TC 155. The taxpayer claimed to deduct the £31,784 paid to trustees to establish a pension fund for the benefit of its clerical and technical salaried staff. The claim was rejected. The House of Lords recognised the principle that a sum of money expended, not of necessity and with a view to direct and immediate benefit to the trade, but voluntarily and on the grounds of commercial expediency and indirectly to facilitate the carrying on of the business, may be of a revenue nature. However, Viscount Cave LC added the following qualification:

But when an expenditure is made, not only once and for all, but with a view to bringing into existence an asset or an advantage for the enduring benefit of a trade, I think that there is very good reason (in the absence of special circumstances leading to an opposite conclusion) for treating such an expenditure as properly attributable not to revenue but to capital.

Example:

A lessee of a motorway service area paid £122,220 to the lessor to change the way in which rental under the lease was calculated. The payment was of a capital nature because it was a once-and-for-all expenditure on a capital asset designed to make it more advantageous. See *Tucker (I of T) v Granada Motorway Services Ltd* (1979) 53 TC 92.

Example:

Expenditure incurred for improving land as the site for carrying on business is a capital item if the outgoing is not merely on maintenance or upkeep. A miner incurred expenditure of a capital nature in demolishing a water-cooling tower and an ore-processing structure on its mining property because the demolitions conferred a positive and enduring advantage on the premises. See *Mount Isa Mines Ltd v FC of T* 92 ATC 4755.

Example:

A premium paid upon the execution of a lease of equipment for 10 years brought into existence an asset for the enduring benefit of the business and so was of a capital nature. See *Kemball v C of T* [1932] NZLR 1305.

Deductions disallowed under capital limitation

The capital limitation has been applied to disallow a deduction for the following outgoings:

- # legal costs incurred in challenging a ferry service contract awarded to a competitor that would have added a major new revenue stream to the taxpayer's business if it had been granted the contract: *C of IR v Fullers Bay of Islands Ltd* (2004) 21 NZTC 18,834. The decision of the High Court was affirmed by the Court of Appeal in *Fullers Bay of Islands Ltd v C of IR* (2006) 22 NZTC 19,716 (CA)
- # staff costs incurred in installing new units in printing presses: *Christchurch Press Co Ltd v C of IR* (1993) 15 NZTC 10,206

- # the cost of demolishing an unwanted building that improved the standard and extent of the taxpayer's wharf area: *C of IR v Lyttelton Port Co Ltd* (1997) 18 NZTC 13,273 (CA)
- # the damages payable following the acquisition of an insurance agency in breach of an earlier covenant to another insurer not to acquire a competing agency: *Nicholls v C of IR* (1965) 14 ATD 52
- # the payment by a service station operator to Mobil Oil for the right to use the Mobil system, involving use of the Mobil trademark, information about the layout and operation of a service station and participation in Mobil's marketing programme: *Labrilda Pty Ltd v DFC of T* 96 ATC 4303 (and Case S24 (1995) 17 NZTC 7,169 resulted in application of the capital limitation to a franchise fee covering establishment costs and training services)
- # a payment by a tenant to obtain early termination of the lease: *C of IR v McKenzies New Zealand Ltd* (1988) 10 NZTC 5,233 (CA). (Note that lease surrender payments made on or after 1 April 2013 are now deductible to the payer and assessable to the payee. See 15-242.)
- # legal costs in defending the allotment of shares acquired in the target company in a successful takeover bid: *John Fairfax and Sons Pty Ltd v FC of T* (1959) 101 CLR 30
- # abandonment and clean up costs to close down an oil drilling site: *RTZ Oil and Gas Ltd v Elliss (HMIT)* [1987] BTC 359
- # special rent payments by the licensee of a casino that conferred freedom from competition for 10 years within a 60 km radius: *Jupiters Ltd v DFC of T* 2002 ATC 4566.

Capital limitation rejected and deductions allowed

Application of the capital limitation has been rejected to allow a deduction for the following outgoings:

- # outgoings paid by the purchaser of a business following the vendor's failure to discharge obligations owed up until the date of sale, because the payments ensured continuity of the business operations: *Cooke (I of T) v Quick Shoe Repair Service* (1949) 30 TC 460
- # the £50 million of share capital subscribed for in an insolvent subsidiary to enable the subsidiary to be purchased by the Bank of England for £1, because the payment removed the threat to the taxpayer's business on account of the subsidiary's insolvency: *Lawson (HMIT) v Johnson Matthey plc* [1992] BTC 324
- # the £1,192 incurred in opposing applications for patents that, if granted, would have resulted in products that competed with those manufactured under the taxpayer's patents: *C of IR v Murray Equipment Ltd* [1966] NZLR 360
- # legal fees incurred in the course of amending the company's constitution to improve the ability to borrow: *C of IR v Carron Co* (1968) 45 TC 18
- # interest on funds borrowed to refurbish assets to enhance a capital gain upon their intended sale, and also to increase trading income, which, in the meantime, was deductible in full even though the capital objective was the main purpose of the borrowing: *Pacific Rendezvous Ltd v C of IR* (1986) 8 NZTC 5,146 (CA)
- # the fee paid to a financial advisor in the course of the maintenance and monitoring of an investment portfolio: *C of IR v North* (1999) 19 NZTC 15,219
- # contributions to an employee share purchase scheme to enable the scheme trustees to purchase shares for the employees: *Heather (I of T) v P-E Consulting Group Ltd* (1972) 48 TC 293
- # the £300,000 paid to obtain a release from an agency agreement that had become financially onerous, because the release achieved a saving in working expenses: *Anglo-Persian Oil Co Ltd v Dale (I of T)* (1931) 16 TC 253
- # the £30 million paid to terminate an agreement for the supply of knowhow to be used in a cellular mobile telephone network, when alternative technology became available at a lower cost: *Vodafone Cellular Ltd v Shaw (HMIT)* [1997] BTC 247 (and similarly, a payment by a licensee to achieve early termination of an agreement for the supply of knowhow requiring the payment of royalties: *J Gadsden and Co Ltd v C of IR* (1964) 14 ATD 18)
- # the \$42 million paid to obtain the exclusive right to offer subsidised home loans to defence personnel, because the payment was incurred as part of the process by which the taxpayer operated to obtain regular returns: *National Australia Bank Ltd v FC of T* 97 ATC 5153

- # the cost of moving trading stock to new business premises: *Lister Blackstone Pty Ltd v FC of T* [76 ATC 4285](#). See also interpretation statement [IS 10/06](#), "Deductibility of business relocation costs", *Tax Information Bulletin* ¶228-101 Vol 22, No 8, September 2010 at 20
- # the £1.3 million paid to another group company to compensate it for shutting down for 12 months as a price-maintenance measure, because the payment effectively was a levy on the taxpayer's production for a year and conferred no enduring benefit: *C of T v Nchanga Consolidated Copper Mines Ltd* [1964] AC 948
- # compensation paid as a percentage of net profits to an aboriginal community for loss of land rights: *Cape Flattery Silica Mines Pty Ltd v FC of T* 97 ATC 4552
- # contributions to campaign to oppose draft legislation to restrict the advertising of tobacco products, which was expected to affect the taxpayer's market share, but which did not pose a threat to the existence of its business: *FC of T v Rothmans of Pall Mall (Australia) Ltd* [92 ATC 4508](#)
- # the loss by way of a robbery suffered by a drug dealer as he was in the course of purchasing further drugs as his stock in trade: *FC of T v La Rosa* [2003 ATC 4510](#)
- # production costs of a West End musical based on the movie "Jailhouse Rock". The taxpayers invested in the musical production via a partnership and claimed deductions associated with the staging of the show in their income tax returns. The Commissioner disallowed a deduction for the expenditure on the basis that the partnership was not in the business of producing musicals. Rather, the money expended was in the nature of an investment by the partnership. In deciding in favour of the taxpayer, Miller J acknowledged that not all indicia relating to the capital/revenue distinction point towards the same outcome, and not all are equally important. In this case, the factors supporting the expenditure being of a revenue nature were the close nexus between the income and the expenditure, its recurring nature, and the taxpayer's funds being employed as circulating capital: *Mallowdale Enterprises Ltd v C of IR* (2011) 25 NZTC ¶20-024.

Law: IT07 s [DA 2](#)

Last reviewed on 31 December 2025

Private limitation for deductions [¶10-078]

[¶10-078]

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An outgoing is of a private nature if it is exclusively referable to living as an individual member of society and domestic expenses are those relating to the household or family unit: *C of IR v Haenga* (1985) 7 NZTC 5,198 (CA). In that case, contributions to a staff welfare fund were found to promote improved performance with the personal benefit of membership of the fund only an incidental effect of the expenditure.

The cost of defending disciplinary proceedings brought against a self-employed sharebroker may be allowed as a deduction, because the preservation of personal reputation may be an incidental effect of the expenditure: *McKnight (HMIT) v Sheppard* [1999] BTC 236.

Expenditure on the purchase of conventional work clothing, such as the suits of a barrister, would generally be regarded as an outgoing of a private nature: *Mallalieu v Drummond (HMIT)* [1983] BTC 380. Similarly, removal costs paid to relocate partners to another city for the benefit of the firm as a whole would also be regarded as an outgoing of a private nature: *MacKinlay (HMIT) v Arthur Young McClelland Moores & Co* [1989] BTC 587.

The purchase of clothing worn in performances by a self-employed musician is not subject to the private limitation: Case F46 (1983) 6 NZTC 59,792.

The property expenses of trustees were limited to 25% where the property was rented out to the father of a trust beneficiary for 25% of a market rental. The explanation for the low rental was the private relationship between the tenant and the trustees. See *Madigan v FC of T* 96 ATC 4640.

A self-employed taxpayer unsuccessfully claimed to deduct 60% of his private nursing care costs on the ground that he chose private care to enable him to continue with his business activities: *Murgatroyd (I of T) v Evans-Jackson* (1967) 43 TC 581. A self-employed solicitor also failed in his claim to deduct the cost of cardiac bypass surgery: Case F158 (1984) 6 NZTC 60,354.

The cost of food and drink may become subject to restricted deductibility under the regime on entertainment expenditure (¶10-402). There are provisions that ensure no deduction is allowed for costs associated with domestic services performed by a spouse or civil union partner in connection with the home (¶10-900).

The mixed-used asset rules apply to apportion deductible expenditure relating to land used both privately and to earn income, and to boats and aircraft costing more than \$50,000 (¶10-035).

Interpretation statement IS 21/06, "Income tax and GST – Treatment of meal expenses" considers the income tax and GST treatment of meal expenses incurred by self-employed persons. The statement undertakes a detailed consideration of relevant case law and concludes that, in general, meal expenses incurred by a self-employed person are non-deductible because they are of a private or domestic nature and therefore subject to the private limitation. The only exception for which the item considers there is convincing authority is where the income-earning process of the taxpayer requires extra meal expenses, eg because of a remote working location or unusual working hours, in which case that extra element will be deductible. The statement also concludes for GST purposes that input tax is not able to be claimed for expenses of a private or domestic nature because goods and services used for private and domestic purposes are not used for making taxable supplies (¶32-670). The statement does briefly consider the treatment of employee meal allowances and entertainment expenditure to illustrate the differences with the treatment of self-employed persons. A number of examples are also included in the statement.

Law: IT07 s DA 2

Last reviewed on 31 December 2025

Exempt income limitation for deductions [¶10-080]

[¶10-080]

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The notion of exempt income refers to income that would otherwise be assessable but for the exemption. It does not encompass distributions of a capital nature: *C of IR v Brierley* (1990) 12 NZTC 7,184 (CA). On that basis, an individual investor was allowed a deduction for the interest paid on borrowings raised to purchase shares that generated very little assessable income.

One area in which the exempt income limitation can be expected to have application is in relation to a holding company that derives only exempt dividends from its subsidiaries (¶16-800). A common practice is for the holding company to be paid management fees to cover the costs of managing the affairs of the subsidiaries. The subsidiaries can be expected to be allowed a deduction for the management fees as a recurrent cost of their trading operations: *Lockwood Buildings Ltd v C of IR* (1996) 17 NZTC 12,483.

The exempt income limitation may apply to a premium paid under a sick, accident or disablement policy that will produce benefits that are exempt income (¶10-540).

Law: IT07 s [DA 2](#)

Last reviewed on 31 December 2025

Employment limitation for deductions [¶10-082]

[¶10-082]

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The employment limitation prevents an employee deducting costs incurred in deriving income from employment. An employee is not able to deduct any legal expenses incurred in pursuing a personal grievance claim before an employment tribunal: *Cleland v C of IR* (2001) 20 NZTC 17,086.

An employee would not be prevented from deducting the premium paid under a loss of earnings policy that produces benefits that are assessable income, or in relation to interest paid under an employee share loan producing a category of employment income. Neither kind of income is classified as income from employment.

An employee is allowed a deduction for a payment made following a breach of a restrictive covenant that had generated assessable income for the employee (¶10-880).

Law: IT07 s [DA 2](#)

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Other general limitations for deductions [¶10-085]

[¶10-085]

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Withholding tax limitation

A non-resident cannot deduct expenses such as financing costs that have been incurred in deriving dividends, interest or royalties subject to non-resident withholding tax as a final tax ([¶26-460](#)).

Non-residents foreign-sourced income limitation

A non-resident cannot deduct expenses incurred in deriving foreign-sourced income. Since that income is not assessable income, the limitation probably merely confirms that any such costs are not allowed as a deduction in any event.

Other limitations

A deduction may not be allowed for a payment to a person outside New Zealand if the taxpayer fails to satisfy an information request by the Commissioner about the payment ([¶10-730](#)).

Law: IT07 s [DA 2](#)

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